$$P_{01} = \frac{\sum wp}{\sum w} = \frac{115200}{940}$$

$$\approx 122.6$$

POINTS TO REMEMBER

- ❖ Index numbers are barometers of an Economy.
- ❖ It is a specilized average designed to measure the changes in a group of variables over time.
- ❖ The different types of Index Numbers are Price Index Number, Quantity Index Number and Value Index Number.
- ❖ Index numbers are classified as simple aggregative and weighted aggregative.
- ❖ The base period must be free from natural calamities.
- ❖ Laspeyeres, Paasches, Dorbish and Bowley, Fisher's ideal and Kelly's are weighed index numbers.
- ❖ Index numbers generally satisfied three tests – Time reversal, factor reversal and circular.
- ❖ Fisher's ideal index number satisfies both time and factor reversal tests.
- ❖ Many index numbers do not satisfy circular test.
- ❖ Cost of living index numbers is useful to the Government for policy making etc.

LBGPPS

EXERCISE 6

I. Choose the best answer.

1) In simple aggregate method, the aggregate price of all items in the given year is expressed as percentage of the same in the
   (a) current year (b) base year
   (c) Quarterly (d) half yearly

2) If the index for 1990 to the base 1980 is 250, the index number for 1980 to the base 1990 is
   (a) 4 (b) 400 (c) 40 (d) 4000

3) If Laspeyre's price index is 324 and Paasche's price index is 144, then Fisher's ideal index is
   (a) 234 (b) 243 (c) 261 (d) 216

4) The index that satisfies factor reversal test is
   (a) Paasche's Index (b) Laspeyre's Index
   (c) Fisher's Ideal Index (d) Walsh price index

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